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Dealing with macroeconomic and financial crises

States face political crises, constitutional crises, national security crises, and economic crises. In this chapter, we look closely at economic crises. The Indian economy, more than mature market economies, has periods of growth punctuated by periods of macroeconomic/financial crises. Dealing with crises is hence more important in the Indian setting than is the case in advanced economies.

This is a place where some elements of the orthodoxy—of the main arguments of the preceding chapters—have to be temporarily jettisoned. This is a field which is more art than science. This field is thus interesting from two points of view: because macroeconomic/financial crises are important, and because they yield fresh insights into the principles of public policy.

Defining a crisis

Some people see crises as dramatic events that take place in a short time. A big crash in stock prices, or the default of a large firm like Lehman Brothers—these are treated as the required markers for declaring a financial crisis. This is, however, not a useful definition. The key thing to watch for is an adverse impact upon the functioning of the real economy.

The defining feature, when the word ‘crisis’ must be used, is when the difficulties of the financial system have an adverse impact upon the